

EXAMINERS' COMMENTS ON THE PERFORMANCE OF THE EXAMINEES

PAPER – 4: COST AND MANAGEMENT ACCOUNTING

Specific Comments

Question 1.(a) This numerical question was related calculation of number of large and small boxes used cost per large and small box and allocation of packaging cost among the finished products. Some examinees find difficulty in calculating cost per large and small box correctly leading to incorrect allocation of packaging cost among the finished products. Overall performance of the examinees was **Average**.

(b) This numerical question was based on '**Joint and By Products**'. The requirement of this question was to apportion joint costs among main products, determine profit or loss if joint products are sold without further processing and decision regarding which joint products can be further processed based on incremental analysis of profit. Many students apportioned the joint costs incorrectly among joint products without crediting the net realisable value of by product as per the requirement of question. Overall performance of the examinees was **Below Average**.

(c) This numerical question was based on '**Employee Cost**' and the requirement of the question was to calculate the remuneration of a worker based on two different incentive schemes i.e. Halsey and Rowan Plan. Overall performance of the examinees was **Good**.

Question 2.(a) This numerical question was based on '**Preparation of Cost Sheet**'. The requirement of the question was to calculate raw material consumed, Prime cost, Works/factory cost, Cost of goods sold, Cost of sales, Net profit & Sales. Some of the examinees could not calculate value of raw material consumed correctly taking the figure of cost of production as basis. Overall performance of the examinees was **Average**.

(b) This numerical question was based on '**Process Costing**'. The examinees were asked to prepare process account and income statement based on the given information. Most of students showed lack of understanding about treatment of abnormal loss due to accident and damaged containers in process account and income statement, hence the overall performance was **Poor**.

Question 3.(a) This numerical question was based on '**Service Costing**'. The requirement of this question was to calculate salary of direct professionals for processing of gold loan & car loan applications and total cost of processing a car loan application. Many examinees faced difficulty in calculation of total salary of direct professionals correctly based on the assumption given in question that cost of processing a car loan application is same as a gold loan application. Overall performance of the examinees was **Below Average**.

(b) This numerical question was based on '**Batch Costing**'. The requirement of the question was to calculate total cost per training batch, minimum training fee per trainee in a batch to cover costs and calculation of minimum percentage of batch size to be filled to meet required profit margin. Many students failed to calculate the total cost batch correctly, resulting in wrong calculation in later steps. Overall performance of the examinees was **Average**.

Question 4.(a) This numerical question was based on '**Standard Costing**'. The requirement of this question was to calculate direct material usage variance, direct material price variance, direct labour efficiency variance, direct labour rate variance, variable overhead cost variance. Overall, **Above Average** performance was observed.

(b) This numerical question was based on '**Cost Accounting System**'. The question required the ascertainment of profit as per cost accounts by preparing cost sheet and a statement showing reconciliation of profits as per cost and financial accounts. Most of the students showed lack of conceptual understanding about absorption of fixed overheads on the basis of normal production capacity. Hence, overall performance of the examinees was **Below Average**.

Question 5.(a) This numerical question was based on '**Overheads-Absorption Costing Method**'. The requirement of this question was to calculate total amount of annual insurance premium. Many students failed to calculate paid hours and effective machine hours correctly. Overall performance of the examinees was **Below Average**.

(b) This numerical question was based on '**Budget and Budgetary Control**'. The requirement of this question was to calculate actual hours worked, Standard hours for actual output, Standard capacity usage ratio, Actual usage of budgeted capacity ratio. Many students failed to calculate standard hours and budgeted hours correctly, leading to wrong calculation of ratios. Overall performance of the examinees was **Below Average**.

(c) This theoretical question was based on '**Marginal Costing**'. The requirement of the question was to compute the opportunity cost for each of the product. Many students showed lack of understanding about concept of opportunity cost and calculated answer based on market demand & production capacity both without considering the concept that lower of the two should be taken for arriving at correct possible contribution for each product. Overall performance of the examinees was **Average**.

Question 6.(a) This theoretical question was based on '**Introduction to Cost and Management Accounting**'. The requirement of this question was to classify the items of expenses by functions and variability. Most of the examinees answered on the correct lines. Overall performance of the examinees was **Good**.

(b) This theoretical question was based on '**Employee Cost**'. The requirement of this question was to recommend a suitable incentive scheme for factory workers based on the specific conditions provided in the case. However, most students were unable to justify their choice with appropriate reasoning. They failed to clearly explain why the selected incentive scheme was most suitable under the given circumstances. Overall performance of the examinees was **Below Average**.

(c) This theoretical question was based on '**Activity Based Costing**'. The requirement of this question was to discuss the usefulness/suitability of Activity based costing. Overall performance of the examinees was **Poor**.

OR

This theoretical question was based on '**Budget and Budgetary Control**'. The requirement of this question was to discuss the four components of Budgetary control system. Overall performance of the examinees was **Poor**.

PAPER – 5: AUDITING AND ETHICS

Specific Comments

Question 1.(a) Responsibilities of the Engagement Partner (Overall Direction, Supervision and Review): Many examinees either omitted this portion entirely or provided only vague and generic statements without clearly explaining the engagement partner's role in directing, supervising, and reviewing the audit. Answers often lacked coverage of key aspects such as

responsibility for ensuring compliance with professional standards, appropriateness of the auditor's report, sufficiency of audit evidence, timely review of audit documentation and the need for consultation on complex or contentious matters.

Specific Responsibilities relating to EQCR: A few examinees were unclear about the applicability of EQCR, particularly its mandatory requirement for listed entities and conditional applicability for others. In some cases, examinees did not mention critical aspects such as the prohibition on dating the auditor's report before completion of EQCR and the requirement to resolve differences of opinion in accordance with firm policies.

(b) Identification of Engagement Standards and difference between reasonable and limited assurance engagements.

Some examinees did not correctly classify the nature of the engagements, particularly confusing assurance engagements with related services and incorrectly quoting the applicable standards. In part (i), a few examinees did not clearly recognise that the engagement falls under SRS 4410 (Revised). In part (ii), some examinees either mentioned an incorrect standard or were unable to recall SAE 3400.

In respect of part (iii), while most of the examinees attempted the distinction, many answers lacked clarity and proper structuring. examinees often stated generic differences without clearly bringing out the level of assurance, nature and extent of procedures, and form of conclusion. In several cases, examples were either incorrect or not provided.

(c) SA 501 – Letter of specific inquiry to external legal counsel and auditor's responsibility where management refuses to permit communication: Many examinees did not include all essential components of the letter of specific inquiry, particularly omitting points relating to management's assessment of the outcome of litigation and the request to the external legal counsel to comment on the reasonableness of such assessment.

With regard to the auditor's responsibility where management refuses permission, many answers lacked clarity and completeness. In some cases, examinees did not specifically refer to modification of opinion under SA 705, while others did not properly link the inability to obtain sufficient appropriate audit evidence with the requirement for modification.

Question 2.(a) SA 580 – Matters to be included in Written Representation Letter by key Management Personnel relating to the Financial Statements: Examinees lacked adequate awareness of the specific contents of written representations relating to the financial statements as required under SA 580. Many examinees did not mention key representations such as management's responsibility for the preparation of financial statements, reasonableness of accounting estimates, completeness of related party disclosures, and treatment of subsequent events.

Instead, a significant number of examinees referred to generic matters, such as access to information, completeness of records, or internal control systems, which were not directly relevant to the requirement. In several cases, answers lacked precision and did not clearly link the representations to the financial statements.

(b) Performing procedures regarding the Continuance of Client Relationships and Audit Engagements: Some examinees did not clearly identify the three specific circumstances in which such procedures are required, namely: before accepting a new client, when deciding on continuance of an existing engagement, and when considering acceptance of a new engagement with an existing client. Few examinees also omitted key considerations such as evaluation of management integrity, assessment of the firm's competence and communication with the predecessor auditor in case of initial engagements.

(c) Reporting requirement under clause 3(ii)(a) of CARO 2020 - Physical verification of inventories: Many examinees referred only to selective aspects of the provision and did not comprehensively cover all elements including reporting on the reasonableness of the intervals, adequacy of procedures, and treatment of discrepancies.

Some examinees incorrectly stated that discrepancies of 10% or more arising during "revaluation" of inventory were required to be reported, reflecting a misunderstanding of the provision, which actually relates to discrepancies noticed on physical verification.

In the conclusion, a significant number of examinees focused on management's responsibilities or justified the use of systems such as ERP, instead of clearly addressing the auditor's reporting responsibility in cases where physical verification of inventory has not been conducted.

Question 3.(a) SA 706 Emphasis of Matter Paragraph and the circumstances in which EOM may be necessary: While many examinees were able to identify the requirement of including an EOM paragraph, a number of them incorrectly referred to Other Matter or Key Audit Matter paragraphs, indicating a lack of clarity in distinguishing among these concepts. Further, the examples cited by examinees were often too general or inappropriate. Instances such as non-applicability of going concern, general litigations, or non-compliance with accounting policies were mentioned, instead of more specific circumstances like exceptional litigation, significant subsequent events, or early adoption of accounting standards.

(c) Understanding and evaluating automated environment for planning and effective audit performance: Many examinees did not address the specific considerations that an auditor should understand and evaluate, instead they discussed general aspects such as password controls, general IT controls and risks arising from the use of IT systems. Even where relevant points were identified, answers were not properly written, with examinees merely listing key terms without adequate explanation or proper elaboration. In several cases, answers did not clearly link the understanding of the automated environment with audit planning and effective performance of audit.

Question 4.(a) Misstatement in the financial statements - Meaning and Examples: While most of the examinees were able to explain the meaning, many did not support their answers with appropriate and relevant examples. In several cases, examinees did not properly analyse the specific situation given in the question, namely the incorrect treatment of capital expenditure as revenue expenditure and did not clearly conclude that it constitutes a misstatement. Further, adequate reasoning for such classification was often missing. Some examinees also provided generic or unrelated examples indicating a lack of clarity in applying the concept of misstatement to practical scenarios.

(b) Property, Plant and Equipment(PPE) Recognition Criteria and elements of cost at the time of recognition: examinees exhibited several common deficiencies while attempting this question. Majority of examinees focused only on the elements of cost and that too in a partial manner, while completely omitting the recognition criteria for Property, Plant and Equipment (PPE). Many examinees did not correctly analyse the specific expenses given in

the question. Some examinees incorrectly treated inauguration expenses as part of the cost of PPE indicating lack of understanding of directly attributable costs. Others did not provide proper reasoning for including testing costs as part of the asset.

(c) Specific Requirements of SQC-1: Many examinees were unable to clearly explain the mechanisms required to ensure compliance with independence requirements and either omitted these aspects or provided vague and generic responses.

There was significant confusion regarding the applicability of Engagement Quality Control Review (EQCR), with some examinees incorrectly stating its applicability or failing to distinguish between listed and other entities. Further, a number of examinees were unclear about the requirement of obtaining written confirmations of independence, particularly with respect to the prescribed periodicity and the personnel from whom such confirmations were required.

Question 5.(a) SA 560 Subsequent Events – Auditor’s Responsibilities after the financial statements have been issued: Many examinees provided incomplete or fragmented procedures and did not present the steps in a clear and logical sequence. In several cases, key aspects such as discussion with management and those charged with governance, evaluation of the need for amendment and audit procedures on the amended financial statements were either omitted or inadequately explained.

Further, examinees often lacked clarity in explaining the reporting implications, particularly the requirement to issue a new auditor’s report and the circumstances in which a modified opinion or Emphasis of Matter/Other Matter paragraph may be required. Some examinees also did not address the auditor’s course of action where management did not take appropriate steps including the need to prevent reliance on the auditor’s report.

(b) Audit procedures for verification of receipt of income of NGO: Most of the examinees did not specify the verification procedures applicable to each particular category of income. Instead of outlining the audit or verification steps relevant to different types of receipts, they merely listed the various sources of income of the NGO without elaboration.

In several cases, examinees did not distinguish between various types of receipts such as grants, subscriptions, membership fees and fundraising

collections and therefore failed to provide tailored procedures for each. Some answers also lacked clarity and depth, with examinees not referring to relevant checks such as verification with registers, agreements, bank deposits, or statutory requirements like compliance with the Foreign Contribution (Regulation) Act.

(c) Audit Planning- Discussion with senior members of the audit team and the management: A large number of examinees did not comprehend the specific requirements and instead discussed general aspects and benefits of audit planning, such as allocation of resources, use of experts, and timely completion of the audit, which were not directly relevant. Many examinees did not specifically address the two scenarios given in the question and could not apply the provisions of SA 300 in context. In several cases, answers lacked clarity regarding the requirement of involvement of the engagement partner and key team members in planning, as well as the permissibility of discussing elements of the audit plan with management subject to safeguards.

Further, a significant number of examinees did not provide clear and appropriate conclusions for each part, particularly in evaluating whether the views expressed by Mr. Hardik were justified or not.

Question 6.(a) Asset Classification and Provisioning - Doubtful and Loss Assets: Many examinees focused primarily on computation of provision and did not explicitly state or evaluate the correctness of asset classification, particularly in the first case. Some examinees did not clearly distinguish between secured and unsecured portions while calculating provisioning or applied incorrect percentages. In a few instances, the concept of erosion in the value of security was either overlooked or incorrectly applied, leading to improper classification in the second case.

(b) Circumstances under which less of the work of the Internal audit function be used: While some examinees were able to state a few relevant points, many answers were incomplete and lacked comprehensive coverage of the circumstances. A significant number of examinees misinterpreted the requirement of the question and instead discussed the circumstances under which the external auditor may use or rely on the work of the internal audit function, rather than focusing on situations requiring reduced reliance and increased direct audit effort.

In several cases, examinees did not clearly bring out key factors such as higher degree of judgment, increased risk of material misstatement, lack of objectivity, and lower competence of the internal audit function.

(c) Examination of the various rules, regulations and orders issued by the executive authorities: A large number of examinees did not attempt this alternative, and those who attempted it demonstrated inadequate understanding of the specific requirements. Many examinees provided generic answers relating to broad aspects of expenditure audit instead of addressing the specific considerations involved in examining rules, regulations, and orders issued by executive authorities. In several cases, examinees did not mention key checks such as consistency with the Constitution and laws, conformity with C&AG requirements, absence of conflict with higher authorities and the necessity of proper rule-making authority.

PAPER – 6: FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT

SECTION A – FINANCIAL MANAGEMENT

Specific Comments

Question 1.(a) This was a numerical question based on "Ratio Analysis" requiring calculation of Closing Inventory, Working Capital, Basic Defense Interval. Overall performance was **Average**.

(b) This was a numerical question based on "Management of Working Capital" to calculate effective cost of factoring and advise on acceptance of factoring proposal. The performance of the examinees was **Below Average**.

(c) This was a numerical question based on "Dividend Decision" requiring examinees to calculate price of equity share and number of shares using Gordon's model. They are also required to calculate price using MM hypothesis and amount of earning required. The performance of the examinees was **Average**.

Question 2.(a) This was a numerical question based on "Leverage" required calculation of EBIT, combined leverage, level of sales where EBIT will be zero. The performance of the examinees was **Good**.

(b) This was a numerical question based on "Investment Decision" requiring examinees to calculate the average rate of return and NPV. The performance of the examinees was above **Average**.

Question 3.(a) This was a numerical question which required examinees to estimate the amount of external fund required and determine the sources and composition of the fund to meet the requirement. Overall performance was **Below Average**.

(b) This was a theoretical question based on "Leverage". Examinees were required to explain in what ways financial leverage operates as a "double edged sword". The performance of the examinees was **Poor**.

Question 4.(a) This was a theoretical question based on "Type of Financing" to discuss briefly the key features of seed capital assistance as a source of finance. The performance of the examinees was **Poor**.

(b) This was a theoretical question based on "Management of Working Capital", examinees were required to explain why the Virtual banking service is popular among the customers and discuss the advantages of Virtual Banking. The performance of the examinees was **Above Average**.

(c) This was a theoretical question on "Introduction to Financial Management" examinees were asked to define financial distress and briefly explain the consequences of a prolonged financial distress. The performance of the examinees was **Average**.

OR

This was a theoretical question on "Ratio Analysis" requiring the examinees to comment on the current ratio under given transactions. The performance of the examinees who attempted the question was **Above Average**.

SECTION – B: STRATEGIC MANAGEMENT

Specific Comments

Question 5.(a) The overall performance was average. A considerable number of examinees were unable to correctly identify the Strategic Group Mapping tool. Even among those who identified it correctly, many could not clearly articulate the procedural steps involved in implementing the tool. The responses generally lacked depth, structure and conceptual clarity.

(b) The performance was above average. Examinees were largely able to correctly identify the Turnaround Strategy and explain its implementation stages effectively. The overall conceptual understanding appeared satisfactory.

(c) The performance was average. While most examinees were able to identify the analysis as Competitor Analysis/Competitive Landscape Analysis, they were unable to systematically explain the steps involved in assessing the competitive landscape. The responses were often vague, unstructured and lacked conceptual precision.

Question 6.(a) The performance was poor. A majority of examinees were unable to correctly explain the concept of Corporate Culture. Further, there was limited understanding regarding the sources from which corporate culture originates.

(b) The performance was average. Although most examinees defined the Cost Leadership Strategy, they were unable to clearly explain its key conditions and associated disadvantages. The answers were largely generic and lacked analytical depth.

Question 7.(a) The performance was poor. Many examinees demonstrated limited understanding of Strategic Performance Measures and were unable to explain the relevant factors, as well as their significance in selecting appropriate measures.

(b) The performance was average. Examinees were unable to clearly explain that what an innovation offers to an organisation, along with the associated risks. The responses lacked depth and conceptual clarity.

Question 8.(a) The performance was average. While most examinees could identify the market areas where competitive pressures operate, the explanations were not adequately linked to the competitive pressure.

(b) The performance in the first option was good, with examinees effectively highlighting the characteristics of ideal objectives. However, in the second option, performance was average due to an inadequate understanding of the concept of Strategy.